

Strategies For Concentrated Stock Wealth

And How To Get Your Client (Or Yourself) To Act

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Webinar Details

- **PDF of slide deck:** Link to download is in the email sent one hour before the webinar. Available from "Handouts" tab with other handouts.
- **Polling questions:** Asked during webinar to share your experiences and test knowledge.
- **Questions for presenter:** Submit via the "Q&A" tab. I will address your questions at the end of the webinar, time permitting. You can also upvote questions.
- **Webinar recording:** Available by tomorrow. An email notification and link will be sent. The link is the same as the one you used to access the live webinar.
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FEATURED ARTICLE

A Guide To Restricted Stock Units (RSUs): Key Points You Must Know

By myStockOptions Editorial Team

Restricted stock units (RSUs) are the most common type of equity compensation granted by companies. While RSUs are a valuable benefit for employees, they require planning. You need to understand your vesting schedule, how taxes will be withheld at vesting, and what you will do with the shares after they are delivered, among other key points covered by this article.

Financial Planning With Stock Comp Have You Feeling Lost?

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TAX CENTER: TAX CHANGES

How The 2025 Tax Law Affects Stock Options And RSUs

NEW! The "One Big Beautiful Bill" Act (OBBBA) made permanent many prior tax provisions but also brought a few surprises. In this article, we present expert insights from advisors on ways the OBBBA will affect your planning for equity comp and holdings of company shares.

RESTRICTED STOCK: RESTRICTED STOCK UNITS

6 Key Tax And Financial-Planning Strategies For RSUs

NEW! Restricted stock units (RSUs) are not as simple as they look. You need a plan for the taxes and the shares before the stock is delivered to you at vesting. In this article, three elite financial advisors reveal the strategies and topics they review with clients.

Webinar Presenters

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Webinar Agenda

- Overview of concentrated stock strategies:
  10b5-1 plans, gifting, CRTs, net vs. cash exercise, hedging
- Tax-aware strategies, including RSU planning, option exercise approaches, AMT management, 83(b) elections, and managing tax across multi-year vesting
- The execution gap: why clients don't act
- Common behavior blockages: fear, FOMO, overconfidence, inertia, optimism bias
- Behavioral frameworks for action
- Life-planning in equity decision conversations
- Nudges, not just numbers, to encourage client action
- Incremental company stock selling strategies
- Sample advisor scripts for reducing anxiety and guiding action
- Client case studies illustrating key concepts

Overview Of Concentrated Stock Strategies – a.k.a. How To Get Out

- Concentrated Stock
- 10b5-1 trading plans
- Mock 10b5-1 Trading Plans
- Donating shares (DAFs, trusts)
- Irrevocable Trusts
- Net-exercise vs. cash exercise
- Hedging/monetization (collars, exchange funds, prepaid forwards)
- Liquidity forecasting & diversification planning

Concentrated Stock

Most common situations:

- Company founders
- Employee stock options
- Legacy positions - gifted stock with low basis
- Undiversified portfolio - buying Google stock for 20 years and never rebalancing

10b5-1 Trading Plans

- Required for officers of publicly traded companies.
- Agree to sell shares typically 1-2 years in advance.
- Exercise and sell outside trading windows.
- Often required for employees with MNPI

Client Instructions for Rule 10b5-1 Trading Plan:

*Language changes/additions to this Addendum are permissible only by E*TRADE Securities LLC ("E*TRADE")*

Earliest Sell Date* (1)	Instructions (Cash Exercise, Sell to Cover, Same Day Sale, Sell ESPP, Sell Restricted Stock Award/Unit)	Date of Grant	Grant Number	Security Type (Stock Options, ESPP, RSU, Shares)	Number of Shares to Sell	Number of Options to Exercise	Price (enter price for Limit Order or Market for Market Order)**
4/10/2020	Exercise	9/26/2017	327	Stock Options		1260	
4/26/2020	Exercise	9/26/2017	327	Stock Options		1248	
5/26/2020	Exercise	9/26/2017	327	Stock Options		1248	
4/10/2020	Exercise	11/19/2018	948	Stock Options		7500	
5/31/2020	Exercise	11/19/2018	948	Stock Options		624	
5/31/2020	Exercise	9/26/2017	327	Stock Options		2496	
4/15/2020	Sell	9/26/2017	327	Shares	2,445		Market
5/15/2020	Sell	9/26/2017	327	Shares	2,445		Market
6/15/2020	Sell	9/26/2017	327	Shares	2,445		Market
7/15/2020	Sell	9/26/2017	327	Shares	2,445		Market
8/15/2020	Sell	9/26/2017	327	Shares	2,445		Market
9/15/2020	Sell	9/26/2017	327	Shares	2,445		Market
10/15/2020	Sell	9/26/2017	327	Shares	2,445		Market
11/15/2020	Sell	9/26/2017	327	Shares	2,445		Market
12/15/2020	Sell	9/26/2017	327	Shares	2,445		Market
Total:					22,005		

Plan Termination date: Earlier of _1/31/2021____________ or date all shares under the Plan are sold.

Maximum number of shares to be sold: ______22,005_______

Mock 10b5-1 Trading Plans

- We map out all the trades and have the client sign off, creates a plan for avoiding concentration risk
- At BKFi, we make them for all clients with concentrated stock, even if they don't actually enter into a 10b5-1 plan
- VERY useful for clients with LTCG eligible RSUs
- Then, we execute ourselves via custody trades in most cases

Trading Plan

This Trading Plan is entered into on 10.15.20
by Client
for the purposes of selling, in accordance with Rule 10b5-1 of the Securities and Exchange Act of 1934,
shares of commen stock of Datadog
as detailed in the table below.

This Trading Plan is not a legal agreement. It is provided to simulate a 10b5-1 plan for clarity and structure during the exit of a concentrated stock position.

Exercise ISOs as they vest
Target Legacy Shares: 12,000

Sale Date	Grant ID	Type	Quantity	Order(Market or Limit price)
1/1/2021	327 & 948 (FIFO)	Sell	1,000	100
2/1/2021	327 & 948 (FIFO)	Sell	1,000	100
3/1/2021	327 & 948 (FIFO)	Sell	1,000	100
4/1/2021	327 & 948 (FIFO)	Sell	1,000	100
4/14/2021	327 & 948 (FIFO)	Sell	3,000	100
5/14/2021	327 & 948 (FIFO)	Sell	1,500	100
6/14/2021	327 & 948 (FIFO)	Sell	1,500	100
7/14/2021	327 & 948 (FIFO)	Sell	1,500	100
8/14/2021	327 & 948 (FIFO)	Sell	1,500	100
9/14/2021	327 & 948 (FIFO)	Sell	1,500	100
10/14/2021	327 & 948 (FIFO)	Sell	1,500	100
11/14/2021	327 & 948 (FIFO)	Sell	1,500	100

Donating Shares (DAFs, Trusts)

Key Benefits for Concentrated Stock Holders

- Reduce concentration risk while aligning with philanthropic goals.
- Create tax-efficient liquidity without immediate recognition of gains.
- Provide clients with a psychological "nudge" to act—philanthropy feels purposeful, not just tax-driven.

Donor-Advised Funds (DAFs)

- Great fix for late in the year trading
- Contribute appreciated stock directly, avoiding capital gains tax.
- Receive an immediate charitable deduction (subject to AGI limits).
- Simplifies giving and creates a "charitable legacy."
- Great for clients with concentrated stock who want tax-efficient giving now without picking charities immediately.

Charitable Remainder Trusts (CRTs)

- Transfer appreciated stock into trust, no immediate capital gains tax.
- Receive a partial upfront charitable deduction.
- Trust sells stock and pays income stream to client (or beneficiaries) for life or term.
- Useful for older clients needing diversification, income, and tax deferral.

Irrevocable Trusts

Irrevocable Trust & Concentrated Stock

- Client gifts stock into an irrevocable trust (removing it from their estate).
- Trustee manages/diversifies assets according to trust terms.
- Beneficiaries (family or others) receive distributions per the trust document.
- Estate tax reduction: Removes future appreciation from client’s taxable estate.
- Asset protection: Stock is no longer subject to client’s creditors or lawsuits.
- Wealth transfer: Provides a structured way to pass stock or its value to heirs.

When It Is Useful

- Client wants to shift wealth to next generation while stock is highly appreciated.
- Client is comfortable relinquishing control (unlike a DAF where they advise).
- Provides an avenue to diversify outside of estate while benefiting heirs.

Net Exercise vs. Cash Exercise

Cash Exercise

- Pay cash to exercise → keep all shares (after tax).
- Pros: More shares, capital gains potential.
- Cons: Cash outlay, higher concentration risk.

Net Exercise

- Shares withheld to cover cost/taxes → get fewer shares.
- Pros: No cash needed, lowers concentration.
- Cons: Fewer shares, less tax-timing flexibility.

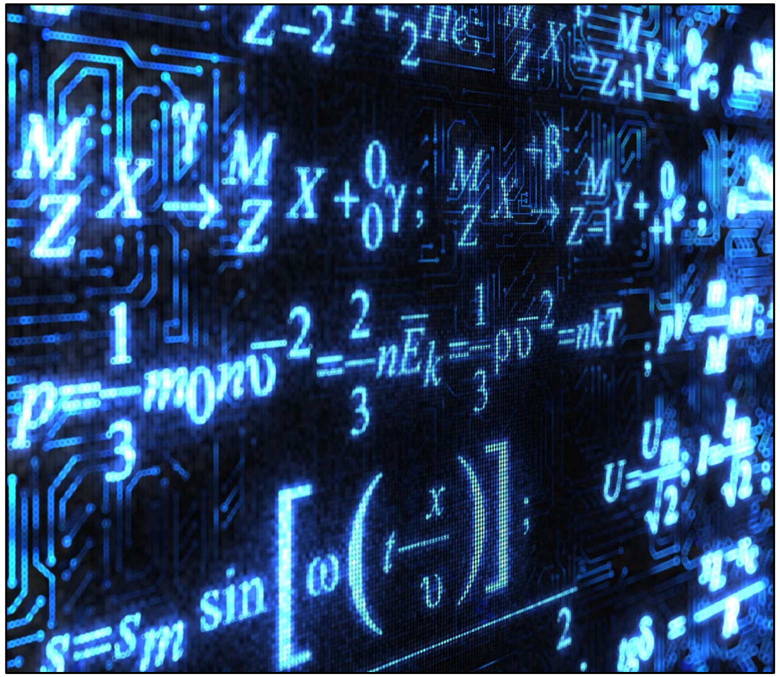
Tips

- Net Exercise - almost always preferable to continue diversification plan
- Cash exercise if client is leaving the company and wants to hold more of a legacy
- Cash exercise = higher conviction, higher risk.
- Net exercise = liquidity-friendly, lower concentration but less long-term upside.
- Decision depends on client’s risk tolerance, liquidity needs, tax bracket, and diversification goals.

Hedging/monetization (collars, exchange funds, prepaid forwards)

Collars

- Hedge upside/downside with options.
- Reality: Often expensive, complex, and not worth the effort — “Just sell the damn stock.”



Exchange Funds

- Pool concentrated stock with other investors.
- Receive a diversified basket (after 7-year lockup).
- Useful for HNW clients unwilling to sell.

Hedging/monetization (collars, exchange funds, prepaid forwards)

Prepaid Forwards

- Contract to deliver stock in the future.
- Receive upfront cash now, hedge downside, defer taxes.
- Liquidity at a Price: You get upfront cash, but you're essentially borrowing against future stock delivery.
- Counterparty sets terms, often limiting upside.
- IRS has challenged some prepaid forward structures. Risk of unexpected tax treatment → loss of intended deferral.
- Feels like "hedging gymnastics" vs. "Just sell the damn stock."
- Clients may end up with false sense of safety instead of just selling stock.

ESO Fund/Equity Bee (For Private Stock)

- Special funds that finance option exercises.
- Useful if client lacks liquidity for cash exercise or is leaving company and doesn't have cash.
- Gives diversification opportunity without personal cash outlay, but at cost (fund takes a cut).

351 Exchange - So Hot Right Now

How it works:

- Shareholder transfers appreciated stock to a corporation in exchange for stock of that corporation.
- No gain or loss recognized if the transferors, as a group, control ≥80% of the corporation after the exchange.

Benefits in concentrated stock context:

- Tax deferral: no immediate capital gains recognition.
- Can be used to consolidate stock or move into a holding company structure.
- Allows planning flexibility (e.g., layering in trusts, future financings, estate strategies).

Limitations:

- Doesn’t itself diversify risk (you still own stock, just in a different wrapper).
- Complexity/legal costs — better fit for founders or large holders than employees with stock options.
- IRS anti-abuse scrutiny if used only to avoid selling/diversifying.

Liquidity forecasting and diversification planning

How much cash does client want/need?

- Talk about monthly goals for the year and plan around estimated tax deadlines
- Plan for exercise cost and taxes
- **Please, please,** do a tax projection and give yourself a 10% margin for error
- Discuss goals for diversified wealth, start with 80% target and negotiate down

Gemifi

Dashboard

Data Upload

APPS

Clients

Summary

Income

Equity

Plan

Cashflow

Tax

Reports

Companies

Cash Income	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Wages	$25,000	$25,000	$25,000	$25,000	$25,000	$25,000	$25,000	$25,000	$25,000	$25,000	$25,000	$25,000	$300,000
RSU Sales	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
ISO Sales	$0	$0	$0	$0	$0	$0	$0	$0	$0	$31,250	$0	$0	$31,250
NQO Sales	$0	$0	$0	$0	$0	$0	$0	$0	$0	$435,000	$0	$0	$435,000
Business Income	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Total	$25,000	$25,000	$25,000	$25,000	$25,000	$25,000	$25,000	$25,000	$25,000	$491,250	$25,000	$25,000	$766,250

Equity Costs	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Exercise Cost - ISO	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Exercise Cost - NQO	$0	$0	$0	$0	$0	$0	$0	$0	$0	-$6,940	$0	$0	-$6,940
Total	$0	$0	$0	$0	$0	$0	$0	$0	$0	-$6,940	$0	$0	-$6,940

Most Common Strategies (With Links For Further Reading)

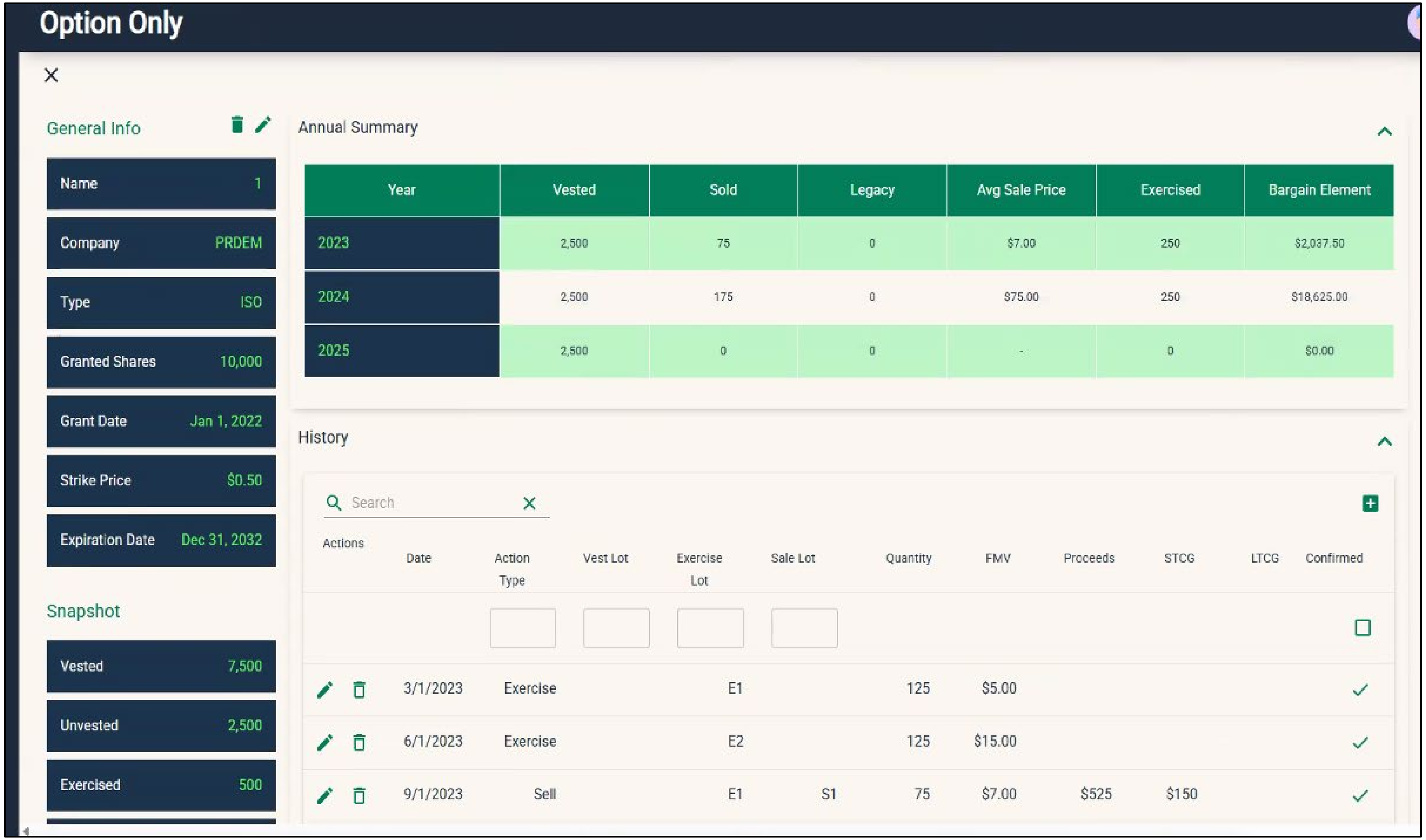
- **Sell the damn stock!** Offer a menu of options: 2, 4, 6-year selloff
- **Cashless exercise:** https://www.brooklynfi.com/blog/stock-option-cash-exercise
- **Should I sell my RSUs immediately upon vest?** YES: https://www.brooklynfi.com/blog/should-i-sell-rsus-immediately
- **Complexity is NOT a financial plan:** https://www.brooklynfi.com/blog/2023/1/4/complexity-is-not-a-financial-plan

Tax-Aware Strategies For Selling

- NQSOs vs. ISOs: timing & exercise recommendations
- AMT management
- ISO Early Exercise
- RSU planning
- 83(b) elections
- Managing tax across multi-year vesting
- Success story: Holding through a large gain
- Cautionary tale: ISO AMT bill + stock drop

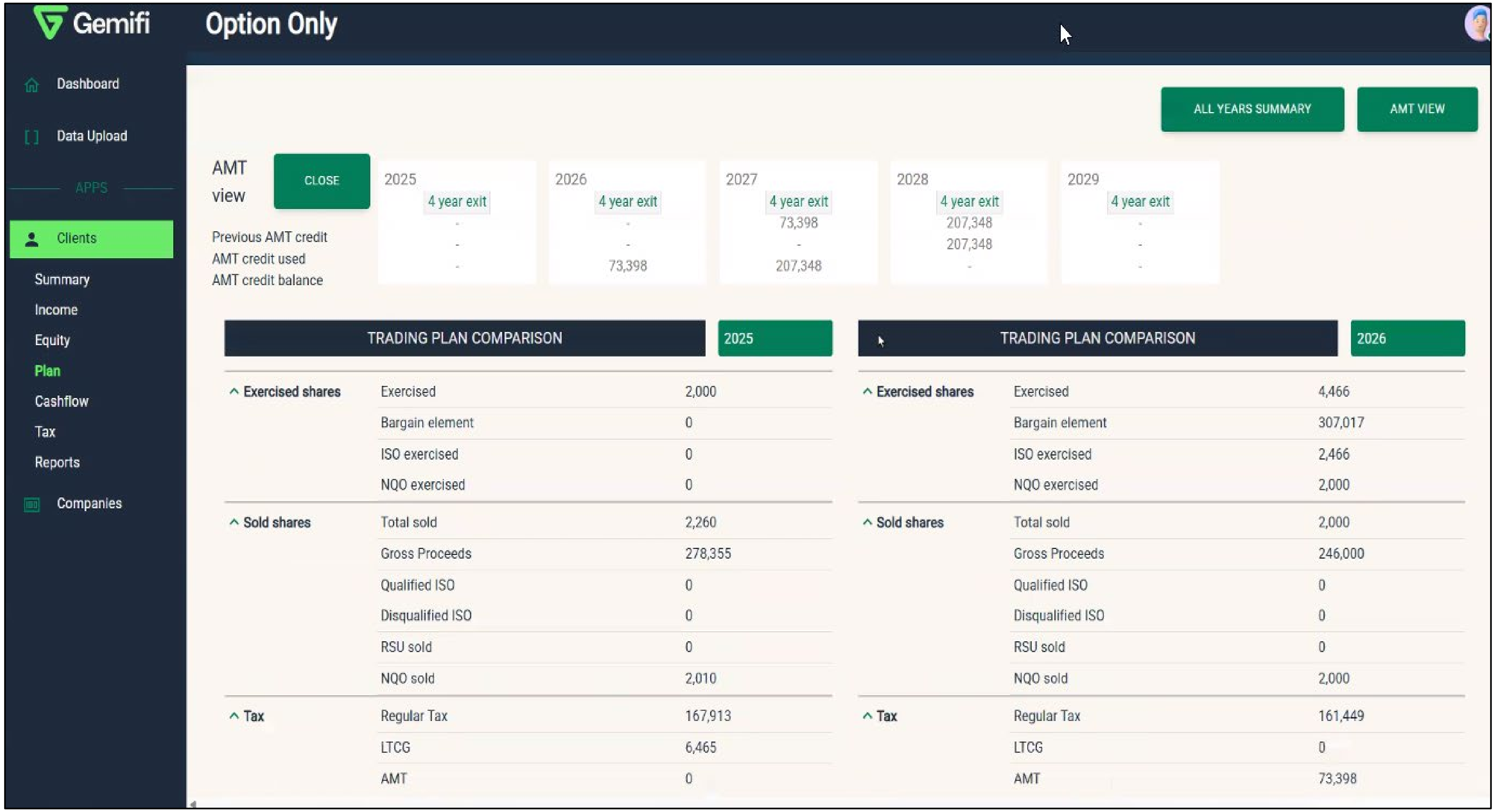
NSOs vs. ISOs: Timing And Exercise Recommendations

- NQSO - No rush to exercise - ordinary income
- If both NQSOs and ISOs are held, create AMT budget for exercising and holding ISOs
- ISO exercise - early in the year if possible



AMT Management

- Tax projections are essential
- Set a budget with your client (how much AMT are they willing/able to pay/risk)
- RSU vests and NQO exercises give us more budget
- Review old tax returns for missed AMT credits, make sure credits are tracked and carried forward



ISO Early Exercise

- Exercise your shares NOW and pay the taxes
- Look for opportunities when the strike price matches the FMV (409A)
- Freeze the bargain element
- YOU MUST FILE a Section 83(b) election within 30 days of early exercise

RSU Planning

- RSU planning
  - Sell at vest and re-invest the cash
  - Custody can remove friction and push back (just handle it for your clients)
- Great value add: tax projection for under withholding
  - Make estimated tax payments or adjust on the W9
- Solve your clients' cash flow problems and eliminate tax surprises!

Income	2024	2025 - no plan	2 year exit	6 year exit
Wages, Salaries, Tips, Etc.	$0	$300,000	$300,000	$300,000
Interest	$0	$0	$0	$0
Dividends	$0	$0	$0	$0
Business Income	$0	$0	$0	$0
RSU Income	$0	$0	$0	$0
Short Term Gain	$60	$0	$0	$0
Ordinary Income	$110	$300,000	$726,810	$464,082
Long Term Capital Gain	$13,038	$0	$32,325	$32,325
Total Income	$13,148	$300,000	$759,135	$496,407
Adjusted Gross Income	$13,148	$300,000	$759,135	$496,407

Tax Estimates 2025

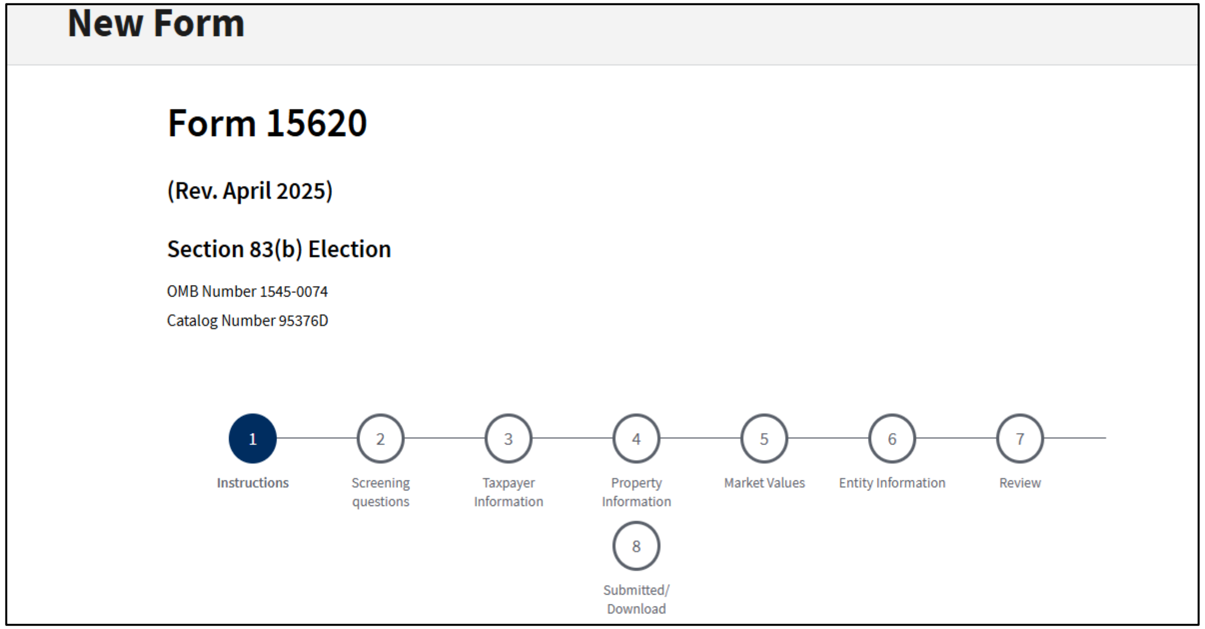
Taxable Income	Tax Due
$300,000	$76,052

Section 83(b) Election

Allows the recipient to elect to recognize compensation income at the time of transfer—not at vesting.

Applicable to:

- Restricted Stock (issued upfront but subject to vesting)
- ISO Early Exercise (shares acquired before vesting via exercising options)
- Election locks in a potentially lower tax basis, enabling future appreciation to be taxed as capital gains, not ordinary income—even if the stock or options still vest.
- NEW 83b election online form from IRS!

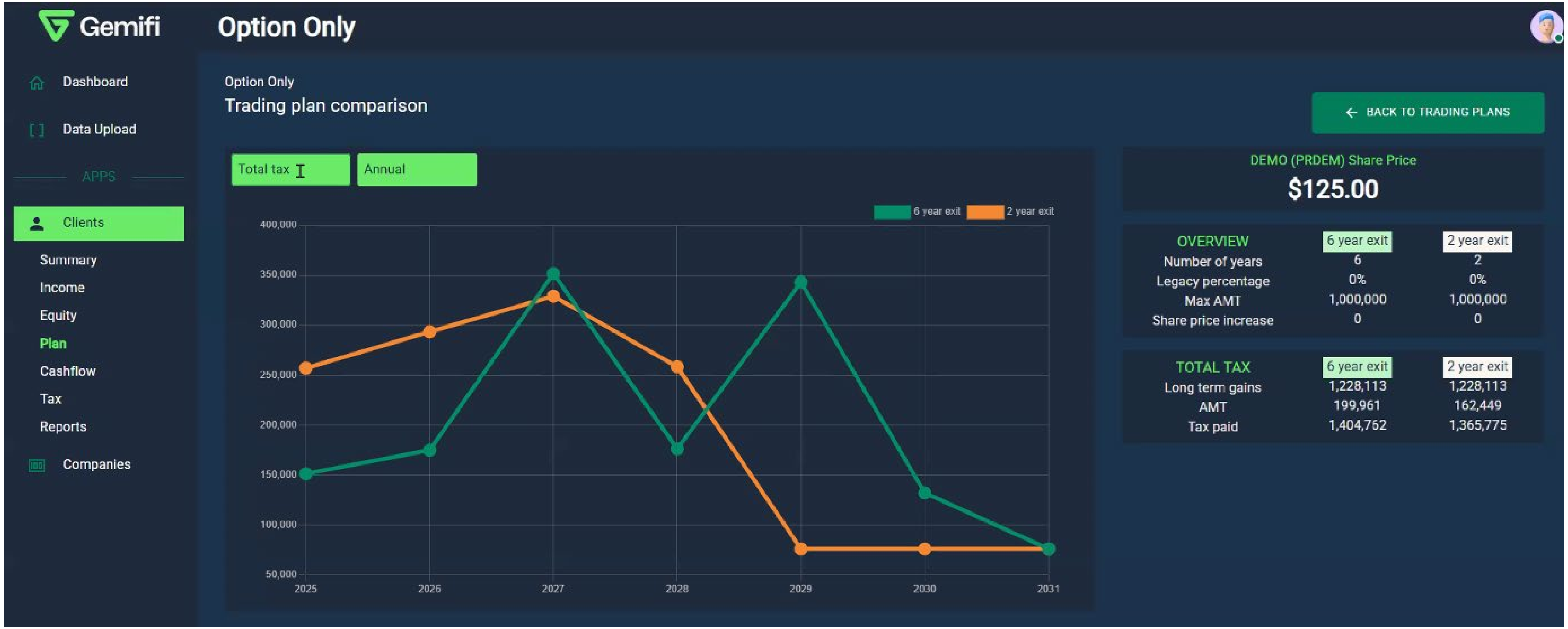


Managing Tax Across Multi-Year Vesting

- Equity comp vests gradually → income spikes across multiple years.
- Sell off slowly to fund large goals like a house purchase > move to cash or conservative diversified portfolio
- Poor planning can push clients into higher tax brackets, AMT exposure, or under-withholding penalties.

Managing Tax Across Multi-Year Vesting: How You Can Help

- Forecast income annually
- Model vesting + exercise + RSUs across multiple years.
- Spread exercises/sales
- Avoid bunching large taxable events in a single year.
- Coordinate with other income
- Align with low-income years, bonus timing, or spouse's income.
- Tax-aware liquidation
- Sell incrementally to manage both concentration risk and tax brackets.



Success Story: Holding Through A Large AMT Bill

The Setup

- Client exercised 21,716 ISOs on 10/7/20 at $1 strike
- FMV at exercise = $26.48/share
- Exercise cost: $20K

The Strategy

- Held shares for >1 year to capture long-term capital gains
- Accepted $300K+ AMT exposure risk
- Installment sale with IRS
- Monitor stock price throughout the one year holding period and potential disqualify some shares

The Outcome

- Sold all shares 10/8/21 at $109.77/share
- Total proceeds: $2.38M
- Taxable gain: $2.36M. Saved about 12% federal taxes ($280,000 tax savings)
- Client turned risky AMT bet into 7-figure profit

Key Lesson

- Timing worked here because stock soared post-IPO
- The risk was enormous — could just as easily have gone the other way
- Reinforces: limit AMT exposure to ≤ $100K or ≤ 5% of net worth unless client has exceptional risk capacity

Cautionary Tale: Private Company ISO AMT Bill + Lower 409A

The Setup

Client exercises 100,000 ISOs at $1 strike.
Employer tells client FMV = $5/share → spread = $4/share.
Client pays $100K to exercise.

The Mistake

Company mis-reports FMV (really $10/share).
IRS calculates AMT on $9 spread instead of $4.
Client faces huge AMT bill ($300K+) on "phantom income."

The Fallout

409A drops to $6
Company never goes public → no liquidity. Client can't sell shares, but still owes the tax.

Key Lessons

Stress test: *What if stock falls? What if IPO never comes?*
Advisors must model AMT and liquidity risk before recommending exercise.
Sometimes, waiting or partial exercise is safer than chasing cap gains.

The Execution Gap: Why Clients Don't Act

- Why technical knowledge alone isn't enough
- The "Scenario of Least Regret" framework
- Common behavior blockages
- Sample advisor scripts: reducing anxiety and guiding action

Why Technical Knowledge Alone Isn’t Enough

Most clients barely understand what they own

- Equity comp jargon (ISOs, NQSOs, RSUs, AMT…) goes over their heads.
- They’re not looking for a technical lecture.

Your deep technical knowledge ≠ their decision framework

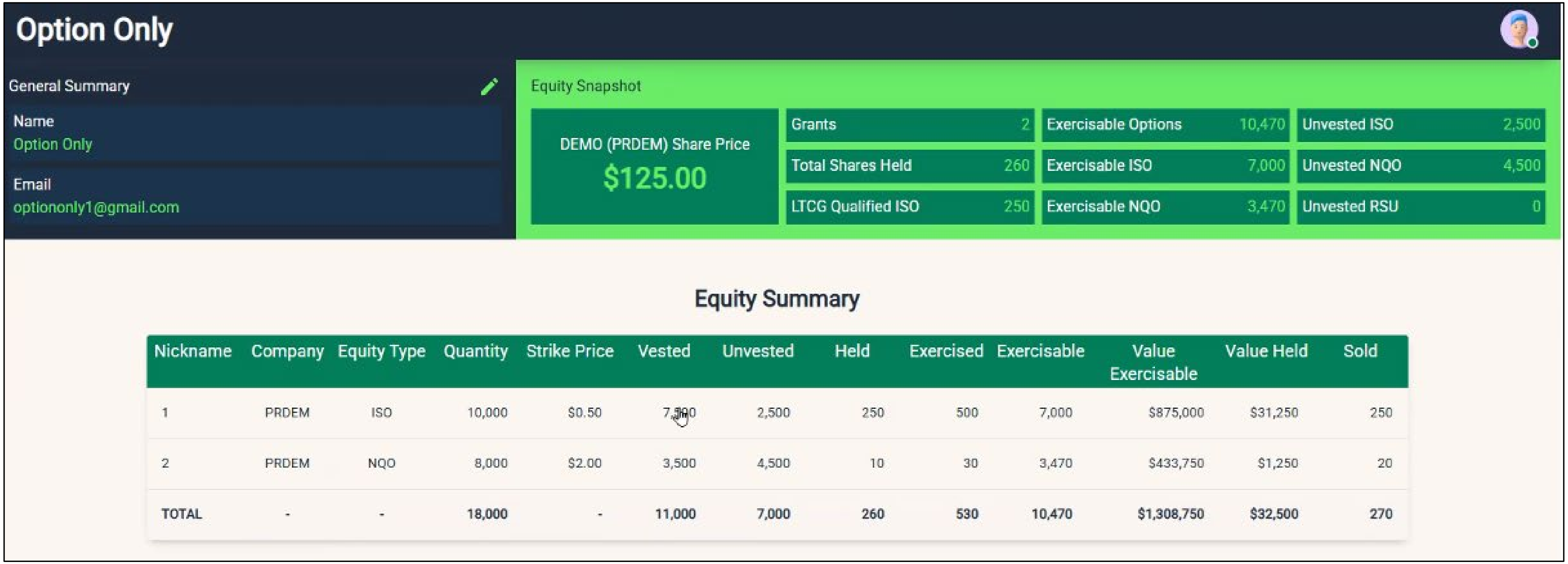
- Complexity creates paralysis!
- Clients don’t act if they feel overwhelmed.

What they actually want:

- Clear choices (“Option A, Option B”)
- Simple trade-offs (risk vs. reward, cash vs. upside)
- Advisor guidance that reduces anxiety and builds confidence.

The “Scenario of Least Regret” Framework™

- You don’t have to exercise everything, but don’t exercise nothing
- Work in tranches, dip a toe in the water
- Risk up to 10% of net worth, potentially more if leaving the company
- Let the client guide you towards a dollar amount, only suggest a number if they ask i.e. Let’s risk $20,000


Option Only

General Summary

Name
Option Only

Email
optiononly1@gmail.com

Equity Snapshot

DEMO (PRDEM) Share Price
$125.00

Grants	2	Exercisable Options	10,470	Unvested ISO	2,500
Total Shares Held	260	Exercisable ISO	7,000	Unvested NQO	4,500
LTCG Qualified ISO	250	Exercisable NQO	3,470	Unvested RSU	0

Equity Summary

Nickname	Company	Equity Type	Quantity	Strike Price	Vested	Unvested	Held	Exercised	Exercisable	Value Exercisable	Value Held	Sold
1	PRDEM	ISO	10,000	$0.50	7,500	2,500	250	500	7,000	$875,000	$31,250	250
2	PRDEM	NQO	8,000	$2.00	3,500	4,500	10	30	3,470	$433,750	$1,250	20
TOTAL	-	-	18,000	-	11,000	7,000	260	530	10,470	$1,308,750	$32,500	270

Common Behavior Blockages

Fear of Missing Out (FOMO)

- **Nudge:** “Sell small portions over time.”
- **Solution:** Dollar-cost averaging out of position.
- **Action:** Build a **systematic selling plan** (quarterly, annually).

Overconfidence

- **Nudge:** “What if the stock drops 50% — how would that affect your goals?”
- **Solution:** Stress-test financial plan with downside scenarios.
- **Action:** Link stock sale proceeds to **life goals** (house, education, retirement).

Inertia (or lack thereof)

- **Nudge:** “Let’s just take one simple step today.”
- **Solution:** Reduce complexity into **2–3 clear choices**.
- **Action:** Provide **a clear trading plan for one or two actions that doesn’t go too far into the future)**

Sample Advisor Scripts: Reducing Anxiety And Guiding Action

Fear of Missing Out (FOMO)

1. *"Selling a slice doesn't mean leaving the game, it means shifting chips to a broader table so you stay in the market."*
2. *"You're not cashing out, you're reinvesting, just spreading the bet so your future doesn't ride on one company."*
3. *"Think of it as trading concentrated risk for diversified growth. You're still investing, just more strategically."*

Overconfidence

1. *"I know you believe in this company. By diversifying, you're not walking away, you're making sure you benefit no matter what happens."*
2. *"If the stock doubles, great, but wouldn't it be even better if your overall portfolio doubled without the rollercoster and risk?"*
3. *"You can still be bullish on the company while also building a foundation in other investments that work alongside it."*

Inertia (Doing Nothing)

1. *"We're not asking you to sell everything. Let's just take one step and reinvest part of it into something stable that grows with the market."*
2. *"What is a negligible amount you might be comfortable with selling just to get things going?"*
3. *"Think of this as planting new seeds. You're still farming, just in more than one field."*

Behavioral Frameworks For Action

- The “Legacy Position” concept
- Framing methods:
  loss aversion vs. gain orientation
- Incorporating life planning into equity decision conversations

The "Legacy Position" Concept

- If the client is anchored, start with what they are keeping, not what they are selling
- Decide what the legacy position will be 5-20% and build a trading plan around that
- Establishes a long-term hedge early on which gives you freedom to optimize the rest

Legacy

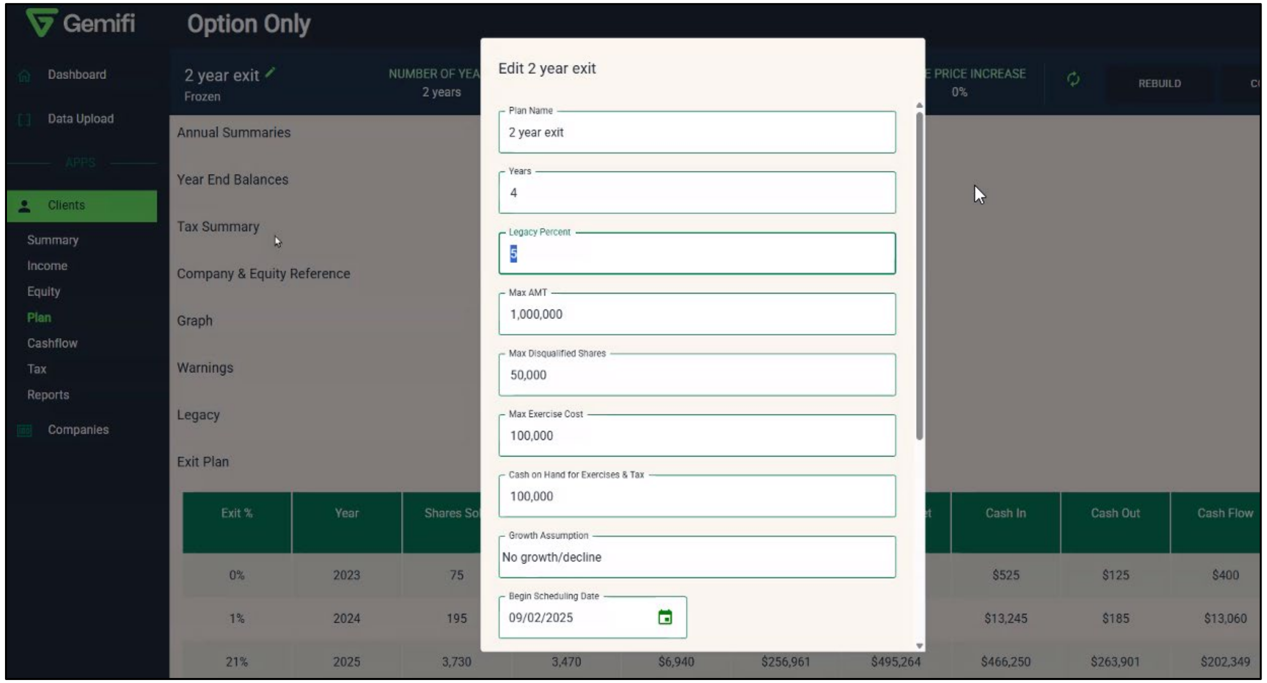
Legacy percent	Legacy target	Current legacy	Planned legacy
20%	3,600	0	0

Exit Plan

Exit %	Year	Shares Sold	Shares Exercised	Exercise Cost	Net Tax Due	Expected Net Proceeds	Cash In	Cash Out	Cash Flow	Plan Cash Balance
0%	2023	75	250	$125	$0	$363	$525	$125	$400	$0
1%	2024	195	280	$185	$0	$12,933	$13,245	$185	$13,060	$0
21%	2025	3,730	3,470	$6,940	$256,961	$495,264	$466,250	$263,901	$202,349	$302,349

Framing Methods

- What is your ideal legacy position?
- How did we come into this position?
- How do you feel about it?
- Are you comfortable with AMT credits?
- If you had this amount of money now in cash would you invest it all in this stock?
- Don’t use the crutch of intrinsic value (avoid Black-Scholes for private companies) because there are so many unknowns



Life Planning First, Equity Second

- If you lead with goals-based financial planning or George Kinder's Life Planning framework, you can work through the client's stubbornness to sell.
- Use the wealth now! Don't try to ultra optimize (you'll just end up too rich and donating it anyways)
- If their dream is to retire early and live on the lake, you can show them through retirement projections how this is possible TODAY with the current stock price
- Why threaten their ideal life when they can have it today.

Case Studies

- **Anchoring**: — using a legacy target as motivation to diversify
- **"The Tech-xit"** — transitioning to early retirement and public-serving work
- **Backyard Builder** — client with 80% net worth in underwater employer stock who has a home renovation project under way

Case Study: Anchoring

Using a Legacy Target to Diversify - The Setup

The Setup

- Client holds **100,000 shares** of employer stock post-IPO (70% of net worth).
- Newly listed stock is **highly volatile** — like **Rivian (RIVN)**, which went public at $78 in Nov 2021, soared to $172 within weeks, then fell below $20 by 2023.
- Client is conflicted: wants to protect wealth but fears "selling too soon."

The Strategy

- Advisor introduces **"Legacy Rule"**: always keep **20% of original holdings (20,000 shares)**.
- Systematic trading plan:
    - Trim at $50/share → sell 20,000 shares.
    - Trim again at $75/share → sell 30,000 shares.
    - Trim again at $100/share → sell 30,000 shares.
- Regardless of price action, **20,000 original shares are never sold**.

Case Study: Anchoring

Using a Legacy Target to Diversify - The Outcome

The Outcome

- Over 18 months, client sold stock in waves across volatile swings.
- Total diversified proceeds: $6.25M.
- Remaining position: 20,000 shares.
- If stock later settles at $40, still worth $800K.
- If stock rebounds to $120, legacy worth $2.4M.
- Client both secured millions in diversified assets and remained a proud shareholder.
- No regret: every sale followed the plan, not market noise.
- Diversified portfolio grew steadily from proceeds.
- Client retained 20,000 shares → stayed connected to company's upside and legacy.
- Avoided paralysis and regret because every sale was framed as following the **pre-agreed plan**.

Key Lesson

- Newly listed stocks are often **rollercoasters** — without discipline, clients get stuck in fear or FOMO.
- The **Legacy Anchor** provides psychological safety:
  - Clients remain long-term shareholders.
  - But they systematically de-risk and fund life goals.
- Selling is easier when framed as *"I'll always own part of my company"*.

Case Study: The “Tech-xit” - The Setup

The Setup

- Client: 48-year-old tech executive with $10M net worth (70% in employer stock).
- Wants to leave corporate life to work in public service / nonprofit sector.
- Practical fears:
  - “What if my lifestyle isn’t sustainable?”
  - “Healthcare costs?”
  - “Am I really ready to walk away from a $500K+ tech salary?”

The Strategy

- Systematic diversification: over 3 years, sold down $6M of stock.
- Reinvested into:
  - $4M diversified portfolio → long-term growth + retirement income.
  - $1M liquidity reserve → 5 years of core living expenses.
  - $1M DAF → tax offsets + philanthropic runway.
- Client takes public-sector job at $60K salary (teaching + nonprofit role).
- Provides health insurance and a modest paycheck.
- Psychological benefit: meaningful work and sense of purpose.

Case Study: The “Tech-xit” - The Outcome

The Outcome

- Annual living needs = $200K → covered by a mix of:
  - Portfolio withdrawals (~$140K at 3.5% withdrawal rate).
  - Public-service income ($60K).
- Client enjoys financial independence, secure healthcare, and fulfillment from public work.
- Huge relief: no longer feels dependent on single-stock risk or golden handcuffs.
- The Tech-xit works when concentrated wealth is converted into a diversified plan.
- Public-service income + healthcare provides structure and security, even after a 90% pay cut.

Questions?

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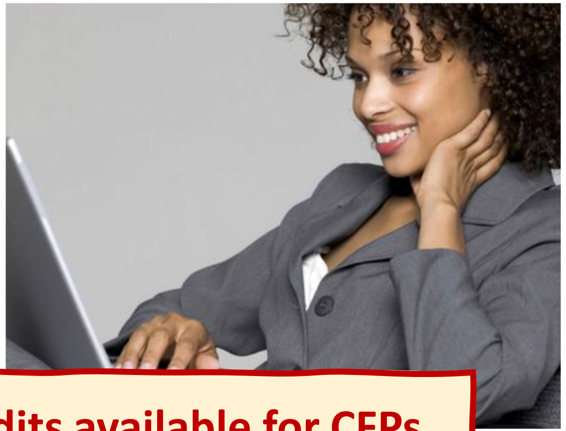

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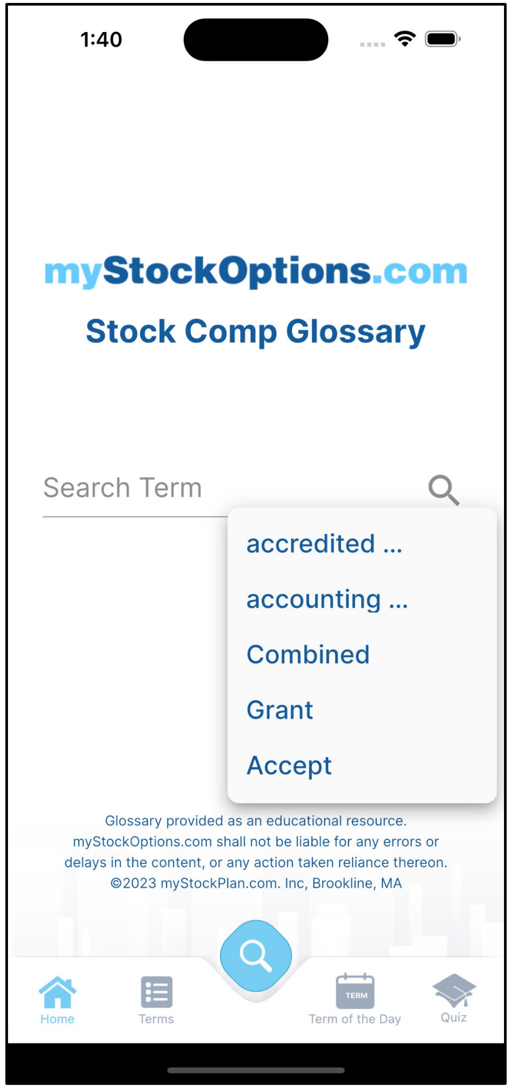

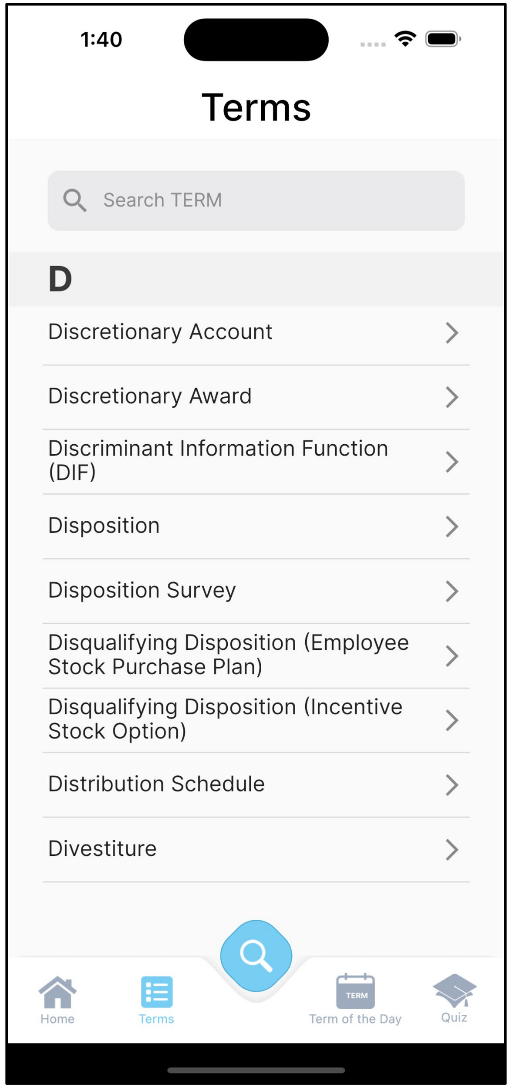

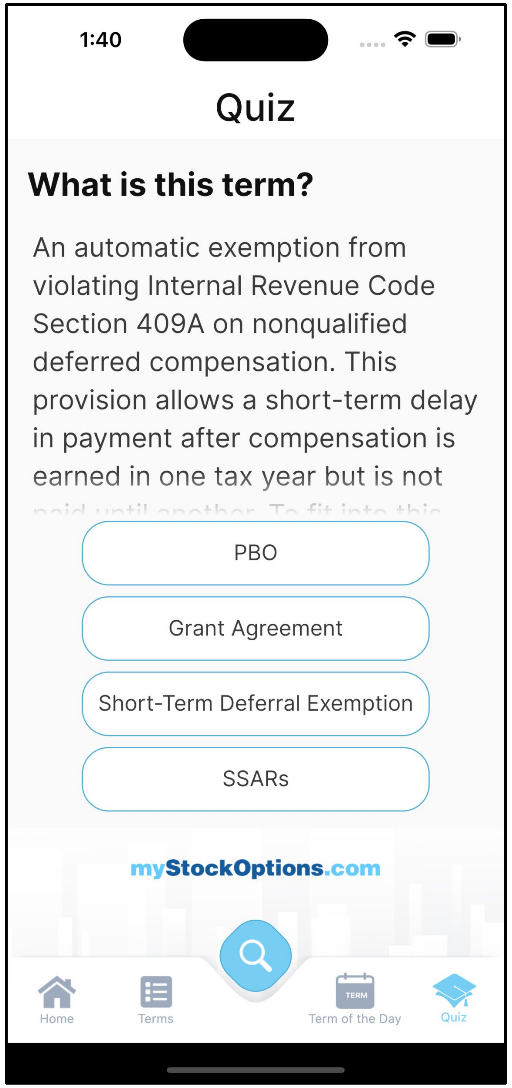

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